actuality, the reason being, of course, that income bonds have been issued almost exclusively in connection with corporate reorganizations and have therefore been associated with companies of secondary credit standing. The very fact that the interest payments are dependent on earnings implies the likelihood that the earnings may be insufficient. Preferred-stock dividends are equally dependent upon earnings, but the same implication is not associated with them. Hence the general investment status of income bonds as a class is seen to have been governed by the circumstances under which they are created rather than by the legal rights which attach to them. To use an analogy: If it had been the general practice here, as in England, to avoid mortgage-bond issues wherever possible, using them only where doubtful credit made this protection necessary, then we might find that mortgage bonds in general would occupy an investment position distinctly inferior to that of debenture bonds.[3]

Increased Volume of Income Bonds Probable. Looking forward, it may be true that in the future income obligations will show a larger proportion of investment issues than will be found among preferred stocks. The numerous reorganizations growing out of the 1930–1933 depression and the continued weakness of railway earnings have created a large new crop of income bonds, and some of these companies may later so improve their position as to place their income obligations in the investment class, as happened to the Atchison, Topeka and Santa Fe after its reorganization in 1895. There is also the point, so far almost overlooked, that income bonds effect a substantial saving in corporation taxes as compared with preferred stocks, without important offsetting disadvantages. Some strong companies may some day be led to replace their present preferred stocks—or to do their new financing—by income obligations, for the sake of this tax saving, in the same way as they are now creating artificially low par values for their shares to reduce the transfer taxes thereon. A development of this kind in the future might

[3] This actually proved to be the case in the *industrial* financing of 1937–1939. Practically all the bond issues were debentures and were sold at unusually low interest rates. It may be said, we believe, that *industrial* debentures now connote a higher type of security than industrial mortgage bonds.